

parol declaration, it cannot be affected by any subsequent parol declaration of the settlor to the contrary (*b*). But the approval of a draft declaration of trust, subject to further consideration as to one of the provisions of it, will not amount to a parol declaration (*c*). If a settlor direct a sum to be invested in the names of the trustees of her marriage settlement, the Court considers this as tantamount to a parol declaration, or rather the presumption is, that the sum so invested should be held upon the same trusts as the settled funds (*d*).

4. **Case of fraud.**—The Statute of Frauds cannot be pleaded by a defendant to whom the estate has been conveyed without consideration, and who claims to retain it under circumstances which the Court deems *fraudulent* (*e*).¹

(*b*) *Kilpin v. Kilpin*, 1 M. & K. 520, see 529; *Crabb v. Crabb*, 1 M. & K. 511.

(*c*) *Re Syke's Trusts*, 2 J. & H. 415.

(*d*) *Re Curteis' Trust*, 14 L. R. Eq. 217.

(*e*) *Davies v. Otty* (No. 2), 35 Beav. 208; *Haigh v. Kaye*, 7 L. R. Ch. App. 469; *Childers v. Childers*, 1 De G. & J. 482; *Lincoln v. Wright*, 4 De G. & J. 16; [*Booth v. Turle*, 16 L. R. Eq. 182.]

¹ The statute is intended to prevent, and not to facilitate fraud. *Maddox v. Rowe*, 23 Ga. 431; 68 Am. Dec. 535; *Morrill v. Cooper*, 65 Barb. 519; *Levy v. Brush*, 45 N. Y. 589; *Bitter v. Jones*, 28 Hun, 494. Where a party attempted to hold property taken as collateral, the court said it was "too gross a fraud to be permitted." *Carr v. Carr*, 52 N. Y. 259. Equity will aid in defeating fraud, regardless of the statute. *Robbins v. Robbins*, 89 N. Y. 257; *Wood v. Rabe*, 96 N. Y. 427. "The rule in equity always has been that the statute is not allowed as a protection of fraud, or as a means of seducing the unwary into false confidence, whereby their intentions are thwarted or their interests betrayed," is the language of the court in *Jenkins v. Eldredge*, 3 Story, 290; but no invariable rule has been, or can be established. *Hill on Trustees*, 224; *Perry on Trusts*, § 169; *Harding v. Wheaton*, 2 Mass. 389. For a further discussion of the question, see *Bonham v. Craig*, 80 N. C. 224; *Newton v. Taylor*, 32 Ohio St. 399; *Rasdall v. Rasdall*, 9 Wis. 379; *Fouty v. Fouty*, 34 Ind. 433. An unconscientious refusal to perform an alleged promise to recovery is not such fraud as will displace the statute. *Johnston v. La Motte*, 6 Rich. Eq. 347. Only clear and simple trusts for the benefit of a debtor are liable to execution of the statute. *Rice v. Burret*, 1 Spear's Eq. 579; 42 Am. Dec. 336. Statute of Frauds does not apply to trusts of personalty. *Kimball v. Morton*, 1 Halst. Ch. 26; 43 Am. Dec. 621; *Hoge v. Hoge*, 1 Watts, 163; 26 Am. Dec. 54; *Towles v. Burton*, Rich. Eq. Cas. 146; 24 Am. Dec. 409; *Robson v. Harwell*, 6 Ga. 589. If a deed is absolute in form, its purpose cannot be shown by parol. *Lawson v. Lawson*, 117 Ill. 98. An express trust must be manifested or proved in writing. *Donlin v. Bradley*, 119 Ill. 412. Neither does the statute apply where the subject of the trust is a debt, and not the land mortgaged to secure it. *Patterson v.*